

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,
Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.

Respondents and Third-Party Complainants

v.

SAMSUNG ELECTRONICS COMPANY, LTD.

Third-Party Respondent

**RESPONDENTS' RESPONSE TO PETITION OF SAMSUNG ELECTRONICS
AMERICA, INC. FOR ATTORNEYS' FEES**

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Respondents Orient Overseas Container Line, Limited and OOCL (Europe) Ltd. (collectively "Respondents" or "OOCL") hereby respond to the Petition of Complainant Samsung Electronics America, Inc. ("SEA") for an Award of Attorneys' Fees ("Petition"). For the reasons set forth below, the Petition should be denied in its entirety.

I. INTRODUCTION AND SUMMARY OF ARGUMENT

SEA is not entitled to attorneys' fees in connection with the dismissal of Respondents' Counterclaim because it fails to meet the criteria used to evaluate entitlement to such fees which,

in this case, weigh heavily against such an award. Moreover, SEA has not met its burden of demonstrating the reasonableness of its fees.

II. APPLICABLE LEGAL STANDARD

The prevailing party in a complaint brought under 46 U.S.C § 41301 may receive an award of reasonable attorneys' fees. 46 U.S.C. § 41305(e). Petitions for fee awards are evaluated under a two-part analysis: (1) whether the petitioner is a "prevailing party" and thus eligible for a fee award and, if so, (2) whether the petitioner is entitled to attorneys' fees in light of the purposes of the Shipping Act and the other factors the Commission uses to evaluate such petitions. *Statement of the Commission On Attorney Fees*, Dkt. 21-14, 2021 WL 9204127 (FMC, Dec. 28, 2021); *Bakerly v. Seafrigo*, Dkt. 22-17, Doc. No. 66 at 8 (FMC, Jan. 22, 2026)(hereinafter, "*Bakerly*"). The petitioner must prove both eligibility and entitlement and must also support the reasonableness of the requested fees. 46 C.F.R. § 502.254(d). "[T]he applicant for an award of attorney fees bears the burden of establishing entitlement to an award, documenting the appropriate hours, and justifying the reasonableness of the rates." *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, 33 S.R.R. 1311, 1315 (ALJ 2015) (citing *Blum v. Stenson*, 465 U.S. 886, 895 n.11 (1984)). *Baltic Auto Shipping, Inc. v. Hitrinov*, 2017 WL 4924883, at *9.

Section 402 of Title IV of the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Public Law 113-281 (enacted on December 18, 2014) amended the statutory provision governing the award of attorneys' fees under the Shipping Act, to authorize the FMC to award attorney's fees to the "prevailing party," whether complainant or respondent, in appropriate cases. "In determining whether a party has 'prevailed' in a proceeding, the Commission will look to federal case law, to the extent practicable." 81 *Fed. Reg.* 10508, 10509 (March 1, 2016). The Commission further directed that "parties should be encouraged to litigate meritorious claims and defences." *Id.*

III. ARGUMENT

SEA is not entitled to any of the fees that are the subject of the Petition.

A. SEA Is Not Entitled To An Award Of Attorneys' Fees

Although the dismissal of the Counterclaim means that SEA is the prevailing party with respect to that dismissal, the criteria used by the Commission (and courts) to evaluate entitlement to such fees weigh heavily against an award.

As an initial matter, it should be noted that Commission awards of attorney's fees have been few and far between, reflecting the Commission's reluctance to award them except in extreme circumstances. To our knowledge, the Commission or an ALJ has awarded attorney's fees in only two cases since its authority to award fees to "prevailing parties" was added to the Shipping Act in 2014. The first case, *Edaf Antillas v. Crowley Caribbean Logistics*, Docket No. 15-04, 2016 WL 5110081 (FMC Sept. 14, 2016), awarded fees to the two respondents in a situation where the complainant simply disappeared – it stopped filing required documents with the Commission and declined even to respond to communications from both the Commission and the respondents.

In the only other case, *Bakerly*, the respondent was awarded partial fees after full litigation of the complaint, an initial decision by the ALJ, and the consideration of exceptions to the ALJ's initial decision in a final decision on the merits issued by the Commission. The Commission awarded fees only with respect to the claims it found complainant had alleged "no colorable factual or legal basis for claiming that [the respondent] contractually agreed to pay all non-freight charges...or for asserting claims under the Ocean Shipping Reform Act of 2022...which was not in effect when the charged were incurred and billed..." *Bakerly*, slip op. at 3. The Commission found these claims to be "patently baseless." Slip op. at 36. The Commission denied attorneys' fees relating to Bakerly's claims of unreasonable billing practices, as complainant had presented "some legal and factual support for those claims." *Id.* The Commission explained that it did not

find evidence of litigation misconduct, nor were deterrence or fully compensating the respondent factors. Rather, awarding respondent attorneys' fees "furthered the purpose of ensuring an efficient and economical transportation system for U.S. ocean-borne commerce [and] is also consistent with the Commission's interest in enforcing its rules allowing NVOCCs to rely on NRA terms accepted by the shipper to keep cargo flowing efficiently." Slip op. at 4.

As discussed below, the main reason for this reluctance has been the Commission's concern over chilling the willingness of injured entities to file complaints with the Commission. The Commission weighed such chilling effect against a pursuit of "patently baseless claims" for "improper purposes," together with the purposes of the Shipping Act to promote a system that "works efficiently and fairly for NVOCCs," to weigh heavily in favor of an award of attorneys' fees. *Bakerly*, slip op. at 36.

The factors considered by the Commission in determining entitlement to an award of attorneys' fees are whether the award furthers the purposes of the Shipping Act, the frivolousness or lack of any objectively reasonable basis for the claims, improper motives, litigation misconduct, deterrent effect, and compensation. *Bakerly* at 3. As explained below, these factors weigh against granting SEA's Petition.

1. The Counterclaim Was Not Frivolous And Did Not Lack An Objective Basis

The test for frivolousness sets a high bar. In *Professional Real Estate Investors v. Columbia Pictures Industries, Inc.*, 508 U.S. 49 (1993), for example, the Supreme Court held that "litigation cannot be deprived of immunity as a sham unless the litigation is 'objectively baseless'" and that "an objectively reasonable effort to litigate cannot be a sham regardless of subjective intent." 508 at 57. The Court further declared that a lawsuit may not be deemed "objectively baseless" if the litigant "could have believed that it had *some chance of winning*." *Id.* at 65. (emphasis added).

See Logfret, Inc. v. Kirsha, B.V., et al., 2 F.M.C. 2d 110, 114 (FMC 2020). As the Commission has explained:

Since the 2014 changes to the attorney fee statute, only once has the Commission required an unsuccessful shipper-complainant to pay an eligible respondent's attorney fees. There, the Commission awarded fees because the complainant "failed to substantiate the legal and factual components of its case, knowingly disregarded the ALJ's orders on numerous occasions, abandoned its claim, forced multiple [r]espondents to expend significant resources of both time and money in their defense and, perhaps most egregiously, failed to terminate the claim when it could have limited the expense of the Respondents," despite "[a]mple opportunity to withdraw its claim." ***In contrast, complainants who raise non-frivolous claims in good faith, who litigate zealously but within the rules and for proper purposes, and who comply with Commission orders are at little risk of attorney fee liability if they are unsuccessful, absent unusual circumstances.***

Statement of the Commission On Attorney Fees, Dkt. 21-14, 2021 WL 9204127 (FMC, Dec. 28, 2021)(emphasis added, footnotes omitted).

Furthermore, the fact that the Counterclaim failed does not in and of itself mean that it was frivolous or lacked a reasonable basis for its claims. As the Supreme Court stated in *Professional Real Estate Investors*, an agency or court reviewing litigation where the party that filed the judicial complaint lost in court:

[M]ust 'resist the understandable temptation to engage in post hoc reasoning by concluding' that an ultimately unsuccessful 'action must have been unreasonable or without foundation.' The [court/agency] must remember that 'even when the law or the facts appear questionable or unfavorable at the outset, a party may have an entirely reasonable ground for bringing suit.'

508 U.S. at 60 n.5 (citing and quoting *Christiansburg Garment Co. v. EEOC*, 434 U.S. 412, 421-22 (1978) (citations omitted). The Commission agrees: "Lack of success does not, by itself, indicate that the claims were frivolous. Otherwise, this factor would always weigh in favor of awarding fees to the prevailing party, an approach the Commission rejected when it issued the Final Rule." *Bakerly* at 11 (citations omitted).

There is no showing of or support for an assertion that the Counterclaim was frivolous within the requirements set out above. The Order of Dismissal made no such assertion, and nothing in the Petition demonstrates that the Counterclaim was frivolous or without basis.

As an initial matter, it is virtually impossible to say that the Counterclaim was frivolous when it was effectively invited by the Commission itself. After the original Counterclaim was dismissed by the then-Presiding Officer, the Commission affirmed the dismissal but granted leave to amend the Counterclaim, saying:

As explained above, OOCL's Counterclaim did include a brief allegation that SEA's prior requests for refunds violated section 41102(a), which the ALJ did not address. In addition, OOCL's brief argues that the heart of its section 41102(a) claim relates to the making and performance of the service contracts themselves, specifically through Samsung and SEA's alleged plan to obtain lower rates by agreeing to a certain allocation of responsibility for delays, then taking a contrary position later. In the current situation, OOCL should be given at least one chance to allege a plausible claim along these lines.

Accordingly, the Commission concluded that "it does not appear that amendment [of the sort proposed by OOCL] would necessarily be futile." Order Affirming Dismissal of Counterclaim at 3, 21 (FMC July 30, 2025)(Doc. No. 66). Given that the Commission found that amending the Counterclaim would not necessarily be futile, it would be improper to find that the Counterclaim was frivolous or that it lacked a reasonable basis despite ultimately proving unsuccessful.

Moreover, although Respondents were unable to persuade the then-Presiding Officer or the Commission that there was sufficient merit to their arguments regarding the original Counterclaim to survive the motions to dismiss, those arguments were certainly not implausible. It is hardly frivolous to take the position that a large and sophisticated company which had revenue of over \$220 billion in 2024 (Samsung) and its wholly-owned U.S. subsidiary (Samsung Electronics America)(SEA) were deliberately misleading Respondents when they were bound by a service contract on file with the Commission making them responsible for non-performance by SEA's

selected motor carriers, SEA paid without protest over \$12 million in charges, and then subsequently demanded OOCL stop issuing the charges and sought a refund of those payments. Indeed, it is difficult to imagine a different, non-frivolous explanation for SEA's conduct.

OOCL amended its Counterclaim to address the areas the Commission had identified as not futile, rendering it substantially different from the original Counterclaim. Although the Presiding Officer ultimately decided to dismiss the Counterclaim, there is nothing therein finding any of OOCL's arguments frivolous or objectively unreasonable. To the contrary, the Presiding Officer carefully addressed and distinguished the cases cited by Respondents. Although Respondents disagree with aspects of the Presiding Officer's analysis, there can be no doubt that the Presiding Officer treated the arguments as seriously made.

Nor can any indicia of frivolousness be drawn from OOCL's fiscally cautious decision not to appeal the dismissal.¹ Respondents firmly believe that the Presiding Officer made at least two serious mistakes of fact that undermine the decision.

First, the Order relied heavily on the similarity between the reparations sought by SEA and those sought by Respondents. But as a factual matter, that superficial likeness is totally meaningless happenstance. SEA's calculation of reparations was based expressly on *detention, demurrage and other storage-related charges* imposed by Respondents and third parties, and purportedly paid by SEA, based on the assertion that those charges were unreasonable. OOCL's calculation of reparations, by contrast, had nothing to do with detention, demurrage, or other such charges. Rather, OOCL's calculation was based on a differential in *basic ocean freight*, the baseline rate for transportation that purely covers transportation and does not include ancillary

¹ The decision not to appeal actually favors denial of the Petition. *Bakerly* at 16 (Bakerly credited for not pressing a dismissal on appeal to the Commission).

charges (such as detention and demurrage) that may accrue before loading or after discharge. Thus, Respondents sought to recover the differential between the ocean freight SEA *would have paid* had it not engaged in fraudulent inducement and the ocean freight SEA did obtain and pay as a direct result of its fraudulent inducement.

Second, as a direct result of this misunderstanding, the Presiding Officer assumed that the shipment-by-shipment analysis required by the Commission would result in a series of binary decisions – either OOCL would need to repay/refund the charges SEA claimed it paid or OOCL would not. But that is obviously wrong, given the substantial difference between the Parties’ claims. OOCL’s claim, if successful, would mean that SEA paid an unlawfully low amount of ocean freight for each and every shipment, with only the amount of the underpayment at issue for specific shipments. Accordingly, for any specific shipment, the FMC could have awarded SEA a specific amount for the unreasonable non-ocean freight charges it paid and also awarded OOCL a separate, and likely different, amount for SEA’s fraudulent attainment of below-market rates for ocean freight.

Further, as also discussed below in connection with the purposes of the Shipping Act, finding frivolousness except in exceptional cases raises concerns about chilling legitimate complaints. As the Commission explained in *Baltic Auto Shipping, Inc. v. Michael Hitrinov*, 2017 WL 4924883 *10 (FMC 2017), “parties should be encouraged to litigate meritorious claims and defenses.” *Adenariwo v. BDP Int’l*, 34 S.R.R. 771, 773 (FMC 2017) (citing 81 Fed. Reg. at 10515); *See id.* at 12, stating that “a ‘chilling effect’ from the Coble Act is something the Commission seeks to avoid (citing *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, 34 S.R.R. 439, 450 (FMC 2016)). The Commission ultimately declined to award fees.

2. An Award Would Not Further The Purposes Of The Shipping Act

The purposes of the Shipping Act as set out in 46 U.S.C. §40101 are to: (1) establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs; (2) ensure an efficient, competitive, and economical transportation system in the ocean commerce of the United States; (3) encourage the development of an economically sound and efficient liner fleet of vessels of the United States capable of meeting national security needs and supporting commerce; and (4) promote the growth and development of United States exports through a competitive and efficient system for the carriage of goods by water in the foreign commerce of the United States, and by placing a greater reliance on the marketplace. Granting the Petition would not further any of these purposes.

This case does not involve claims of discrimination, so an award would not further purpose (1). An award of attorneys' fees would have no impact on the existence or development of the U.S. liner fleet, so such an award would not further purpose (3). This case does not involve U.S. exports, so an award of attorneys' fees would not further purpose (4). Finally, it is unclear how an award would help ensure an efficient, competitive, and economical transportation system in the ocean commerce of the United States (purpose (2)), as the dismissal of the third-party complaint does not address the lawfulness of the conduct of Respondents that is at issue in the proceeding. *Logfret v. Kirsha*, 2 F.M.C. 2d at 117. ("The Commission agrees with the ALJ that the "purposes of the Shipping Act are met when complainants are able to raise potential violations, even under unusual or unique circumstances, without the chilling impact of having to pay Respondents' attorney fees." Order Denying Pet. at 6. Consequently, this factor weighs against imposing fees.")

Accordingly, granting the Petition would not further any of the purposes of the Shipping Act.

3. Respondents Did Not Engage in Litigation Misconduct

The fact that Respondents did not engage in litigation misconduct weighs against granting the Petition.

The Commission has cited failure to follow Commission procedures or orders as examples of litigation misconduct. *Edaf* at 9; *Bakerly* at 8. Here, there is no such misconduct.

Respondents have followed all applicable Commission procedures and orders. Respondents have not engaged in any dilatory tactics, as evidenced by the numerous status reports filed in this proceeding. Respondents have even suggested streamlined procedures intended to avoid unnecessary delay and/or duplication. *See* Order Granting Motion of September 18, 2025 (ALJ Sept. 22, 2025)(Doc. No. 79).

SEA's efforts to portray vigorously litigating positions in accordance with applicable regulations and orders of the Presiding Officer as somehow being dilatory should be disregarded.

In light of the foregoing, this factor does not support granting the Petition.

4. The Motivation For The Third-Party Complaint Supports Denial Of The Petition

There is no allegation in the Petition that Respondents' conduct was motivated by some improper purpose, such as harassment or coercion, and thus this factor weighs against granting the Petition.

Because direct evidence of a party's motivation for filings is rare, the Commission considers circumstantial evidence of a party's motives for filing and pursuing a claim or defense. *Bakerly* at 11 (citation omitted). A party's conduct prior to asserting the claim is an example of such circumstantial evidence, and, where that prior conduct is inconsistent with the claim, such

conduct is evidence that the claim was improperly motivated. *Id.* at 19. Here, there is nothing in Respondents' prior conduct that is inconsistent with the claims made in the Counterclaim. There is no allegation of improper motivation and no evidence – circumstantial or otherwise – of an improper motive.

Any suggestion that the Counterclaim was intended as a dilatory tactic is undermined by the promptness with which Respondents served their own discovery requests and responded to the discovery requests of SEA. Simply put, Respondents' conduct in the context of this proceeding does not support a conclusion that the Counterclaim was asserted for any improper purpose.

Accordingly, this factor weighs against granting the Petition.

5. Compensation Considerations Favor Denial of An Award

Compensation is only a factor in cases involving a substantial disparity in power between the parties. *Bakerly* at 28. Or, as the Commission has explained:

Compensation is a factor in certain cases. Because every prevailing party could argue it would not be made whole without an award of attorney fees, placing too much emphasis on compensation would violate the principle that there is no presumption in favor of awarding fees. In some circumstances, however, the need to compensate a prevailing party may weigh in favor of awarding attorney fees. For example, this might be a factor where a prevailing complainant is an individual shipping household goods. (Emphasis added, footnotes omitted).

Statement of the Commission On Attorney Fees, Dkt. 21-14, 2021 WL 9204127 (FMC, Dec. 28, 2021)(emphasis added, footnotes omitted).

Here, SEA is not an individual shipping household goods, but rather a massive, sophisticated American subsidiary of a multinational corporation that regularly engages in the transportation of vast amounts of commercial goods. Hence, any disparity in power weighs against granting the Petition in light of SEA and Samsung's massive size and value.

According to public information, SEA's parent company has over 129,000 employees and in 2024 had revenue in excess of \$220 billion dollars. See [https://www.globaldata.com/company-profile/samsung-electronics-co-ltd/#:~:text=Samsung%20Electronics%20Co%20Ltd%20\(Samsung,Gyeonggi%2Ddo%2C%20South%20Korea.](https://www.globaldata.com/company-profile/samsung-electronics-co-ltd/#:~:text=Samsung%20Electronics%20Co%20Ltd%20(Samsung,Gyeonggi%2Ddo%2C%20South%20Korea.)

In contrast, Respondents had revenue of just under \$11 billion in 2024, approximately 1/20th the revenue of SEA's parent company. See [https://www.freightwaves.com/news/oocl-sees-strong-2024-results-despite-ocean-shipping-challenges#:~:text=Here's%20some%20news%20about%20Orient%20Overseas%20\(International\),its%20annual%20general%20meeting%20on%20May%202015.](https://www.freightwaves.com/news/oocl-sees-strong-2024-results-despite-ocean-shipping-challenges#:~:text=Here's%20some%20news%20about%20Orient%20Overseas%20(International),its%20annual%20general%20meeting%20on%20May%202015.)

Accordingly, this criterion does not support granting the Petition.

6. No Deterrent Purpose Would Be Served By Issuance of An Award

Granting the Petition would not further any legitimate deterrent purpose.

As the Commission has emphasized, deterrence is a consideration only in very unusual circumstances:

The Commission may also award attorney fees to deter conduct, such as failing to respond in Commission proceedings or repeatedly engaging in prohibited acts. Considerations of deterrence may also, however, weigh against awarding fees. The “purposes of the Shipping Act are met when complainants are able to raise potential violations, even under unusual or unique circumstances, without the chilling impact of having to pay [r]espondents’ attorney fees.

Statement of the Commission On Attorney Fees, Dkt. 21-14, 2021 WL 9204127 (FMC, Dec. 28, 2021)(emphasis added, footnotes omitted). Here, this consideration weighs against granting the Petition.

7. SEA Has Not Established The Reasonableness Of Its Fees

As noted above, under Commission regulations the petitioner must support the reasonableness of the requested fees. 46 C.F.R. § 502.254(d). SEA has failed to meet the burden of establishing the reasonableness of the fees it seeks. Accordingly, the Petition should be denied.

The Commission uses the lodestar method as the starting point for determining reasonable attorneys' fees, which means multiplying the hourly rate by time reasonably expended. *Bakerly* at 30. To meet the burden of establishing that the number of hours worked were reasonable, a petitioner must:

tender reliable billing records, and it must exercise billing judgment to excise from its claim time not properly shown to have been incurred in pursuit of the matter at issue or that is otherwise not reasonable in amount or not necessarily incurred.

Suntrust Mortgage, Inc. v. AIG United Guar. Corp., 933 F. Supp.2d 762, 774 (E.D. Va. 2013) (“*Suntrust*”), citing *Henskley v. Eckerhart*, 461 U.S. 424, 433-34 (1983). This requirement has been described as follows:

...fee claimants must submit documentation that reflects ‘reliable contemporaneous recordation of time spent on legal tasks that are described with reasonable particularity,’ sufficient to permit the Court to weigh the hours claimed and exclude hours that were not ‘reasonably expended.’

Suntrust at 777, citing *Guidry v. Clare*, 442 F.Supp.2d 282 (E.D. Va.) (2006). SEA’s Petition utterly fails to comply with these requirements.

SEA has submitted ten (10) invoices as part of its Petition. Each of those invoices redacts the total hours worked by each timekeeper and the total fees attributable to each timekeeper for the period covered by the invoice. More significantly, all of the invoices substantially redact the description of the work performed. The last seven (7) invoices redact far more of the work descriptions than they display. The extent of the redaction prevents the Commission (and Respondents) from weighing the hours claimed and reaching any conclusion with respect to the

reasonableness of the time spent on any particular task. Simply put, SEA has not provided sufficient information about the tasks performed to enable the Commission to conclude that the time spent was reasonable.

Courts have held that a fee applicant cannot establish the reasonable time component of the lodestar approach without time records that meet the test set forth above. *Suntrust* at 777 and cases cited therein. Since the Petition lacks sufficient support to conclude that the hours expended were reasonable, SEA has failed to meet its obligation to demonstrate that reasonableness, and the Petition should be denied in its entirety.

IV. CONCLUSION

The Commission has indicated that litigants who raise non-frivolous claims in good faith, who litigate zealously but within the rules and for proper purposes, and who comply with Commissions orders, are at little risk of attorney fee liability if they are unsuccessful. *Statement of the Commission On Attorney Fees*, Dkt. 21-14, 2021 WL 9204127 (FMC, Dec. 28, 2021). As demonstrated above, this is precisely what Respondents have done. Accordingly, for the reasons set forth above – particularly SEA’s failure to demonstrate the reasonableness of its fees – the Petition should be denied in its entirety.

Respectfully Submitted,

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Dated: February 17, 2026

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I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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